Unit -V: Trade secrets and Law of Unfair Competition

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Trade Secrets:

A trade secret is confidential business information that provides a company with a competitive advantage. This can include recipes, formulas, processes, customer lists, marketing strategies, and even negative information—such as knowledge about what does not work. To qualify as a trade secret, the information must be valuable, not publicly known, and actively protected by the company.

Companies take extensive measures to safeguard trade secrets because unauthorized disclosure can lead to significant economic losses and increased competition. For example, Coca-Cola's secret formula and KFC's recipe of 11 herbs and spices are closely guarded, with only a few individuals having access under strict nondisclosure agreements.

With advancements in technology and the increasing mobility of employees, the risk of trade secret theft has grown. Companies invest in security measures to prevent breaches, as losses can be substantial. A 2009 McAfee report found that, on average, companies lost $4.6 million in intellectual property due to security breaches.

Trade secret laws exist to encourage businesses to invest in research and development by ensuring that their confidential information remains protected. These laws not only reward innovation but also deter unethical practices, creating a fair and competitive business environment.

Trade Secret law

Unlike trademarks, copyrights, and patents, trade secrets are not governed by a federal statutory system, nor do they require registration for protection. Instead, trade secret law primarily arises

from common law principles, meaning it has been shaped by court rulings over time. The first U.S. trade secret case, Vickery v. Welch (1837), dealt with chocolate manufacturing methods.

In 1939, the Restatement of Torts provided an early definition of trade secrets, which many states used as a basis for their laws. Later, the Restatement (Third) of Unfair Competition offered a more refined and widely accepted legal framework. In 1979, the Uniform Trade Secrets Act (UTSA) was introduced to create consistency across states, with an amendment in 1985. Over 45 states have adopted the UTSA, though with some modifications. The UTSA defines a trade secret as any valuable, confidential information (such as a formula, method, or process) that derives economic benefit from secrecy and is actively protected by its owner.

Additionally, certain federal laws, like the Economic Espionage Act, provide further protection. However, contracts play a crucial role in safeguarding trade secrets. Businesses commonly require employees and partners to sign nondisclosure agreements (NDAs) or confidentiality agreements, which legally prevent them from sharing or misusing proprietary information. These agreements are enforced through standard contract law and serve as an essential layer of protection for businesses.

Determination of trade secret status

Courts assess multiple factors to determine whether information qualifies as a trade secret, balancing these considerations rather than relying on any single criterion.

Extent of Public Knowledge – If information is widely known outside the company, it is less likely to be a trade secret. Some limited disclosures (e.g., to licensees under confidentiality agreements) do not necessarily destroy protection, but public availability—such as publication on the internet—will.

Internal Awareness – If confidential information is broadly known within the company, especially by those who do not need it for their work, it may lose trade secret status. Companies should limit access to employees with a legitimate "need to know."

Protective Measures Taken – Courts expect companies to take reasonable precautions (e.g., nondisclosure agreements, locked storage, restricted access, confidentiality markings) to safeguard trade secrets. Increasingly, courts also consider advanced security measures for digital data, such as encryption and access controls.

Value to the Company and Competitors – Information that provides significant competitive value (e.g., proprietary formulas or donor lists for nonprofits) is more likely to be protected than information with minimal economic impact.

Time, Effort, and Money Invested – If a company has spent substantial resources developing the information, courts are more likely to recognize it as a trade secret.

Ease of Acquisition or Duplication – Information that is easily obtained, observed, or reverse-engineered is less likely to qualify as a trade secret. However, if replication requires significant time, effort, and expense, it may still receive protection.

Not all information qualifies. In Buffets, Inc. v. Klinke (1996), a restaurant's recipes for common dishes (e.g., BBQ chicken, mac and cheese) were deemed too basic and obvious to be trade secrets since they could be easily recreated.

Measures for protecting trade secret status

Confidentiality Agreements: Use NDAs with employees, contractors, and business partners to legally bind them to secrecy.
Access Control: Limit access to sensitive information to only those who need it (principle of least privilege).
Employee Training: Educate staff regularly on handling confidential data and the importance of trade secret protection.
Physical Security: Secure premises with locks, surveillance, ID badges, and visitor monitoring to prevent unauthorized access.
Digital Security: Implement firewalls, encryption, password protection, and user authentication to safeguard digital trade secrets.
Labeling: Clearly mark trade secret documents as "Confidential" or "Proprietary" to signal their protected status.
Exit Procedures: Conduct exit interviews and remind departing employees of continuing confidentiality obligations.
Trade Secret Policy: Maintain a formal, documented internal policy outlining the handling and classification of trade secrets.
Legal Enforcement: Be prepared to take legal action against misappropriation under laws like the Defend Trade Secrets Act (U.S.).

Liability for misappropriation of trade secrets

Misappropriation of a trade secret occurs when someone acquires, uses, or discloses a trade secret belonging to another without consent and under circumstances where they knew or should have known that the information was confidential. The law protects trade secrets from unauthorized use or improper acquisition to ensure fair business competition and safeguard valuable business assets.

Misappropriation occurs when a person acquires, discloses, or uses a trade secret owned by another entity without proper authorization. This can happen under various circumstances, including:

Improper Means of Acquisition:

If a trade secret is obtained through bribery, theft, fraud, espionage (electronic or physical), or breach of a confidentiality agreement, it is considered misappropriation.

Example: If an employee steals confidential design blueprints from their company and gives them to a competitor, this would be an act of misappropriation.

Knowledge of Improper Acquisition:

If a person knew or should have known that a trade secret was acquired improperly but still used it, they are liable for misappropriation.

Example: A company hires an engineer who brings confidential data from their previous employer. If the new employer is aware that this data is proprietary but still uses it, they are complicit in misappropriation.

Breach of Duty to Maintain Secrecy:

If a person has a legal or ethical duty to keep information confidential (such as an employee or business partner) but discloses or uses the trade secret without consent, it is misappropriation.

Example: A consultant hired by a company to improve manufacturing processes signs a confidentiality agreement but later sells the trade secret to a competitor.

Legitimate Ways to Obtain Trade Secrets (Non-Misappropriation Methods)

Not all instances of using a trade secret constitute misappropriation. Some methods of acquiring trade secrets are considered lawful, including:

Independent Discovery:

If a company or individual develops a trade secret independently, without copying or using another's proprietary information, there is no misappropriation.

Example: If two researchers separately invent a new battery technology without interacting, neither has misappropriated the other's work.

Reverse Engineering:

If a product is lawfully obtained, and its inner workings are discovered through analysis, this is legal.

Example: A competitor legally buys a smartphone and studies its components to develop a similar but original design.

Public Observation:

If a trade secret can be discovered simply by observing a publicly accessible product, process, or service, it is not considered a misappropriation.

Example: A restaurant publicly cooks a unique dish in front of customers, and a competitor takes notes on the process. Since the process was publicly visible, it is not protected as a trade secret.

Published Information:

If a trade secret has been published or otherwise made public, even unintentionally, it loses protection under trade secret laws.

Example: If a company accidentally posts proprietary formulas on its website and they become publicly available, competitors can legally use the information.

Protection for Submissions: Safeguarding Ideas and Trade Secrets

Individuals and companies frequently submit ideas, inventions, or trade secrets to private companies or government agencies with the hope of securing compensation or contracts. However, without proper legal protection, there is a risk that the submitting party may lose their rights to the idea.

1. Submissions to Private Parties

The Risk of Unprotected Submissions

Many individuals seek to share ideas with businesses in the hope that the company will develop, market, and compensate them. However, without a written agreement, companies are generally under no obligation to pay for or protect the submitted idea.

For example, suppose Sanders invents a new board game but lacks the resources to produce and distribute it. Sanders writes to Hasbro, a well-known game company, presenting his idea. There are three possible scenarios:

Hasbro ignores the submission. Sanders has no recourse since no agreement was made.

Hasbro reviews the idea but rejects it. Again, without an agreement, Sanders cannot claim ownership over the rejected idea.

Hasbro develops and markets a game similar to Sanders' idea. Sanders may have legal options, but only if he can prove that:

Hasbro used his exact idea.

His idea was not already known or easily conceived by others.

Hasbro had an implied or explicit obligation to compensate him.

How to Protect a Submission to a Private Company

To avoid disputes and ensure proper compensation, inventors and creators should take the following steps:

Use a Written Agreement

Submit ideas only under a signed Non-Disclosure Agreement (NDA) or a submission contract that outlines confidentiality and compensation terms.

Some companies have submission policies that explicitly state whether they will accept unsolicited ideas and under what conditions.

Mark the Submission as Confidential

Clearly label all materials as "Confidential and Proprietary."

Keep records of all communications and document when, how, and to whom the idea was submitted.

Ensure the Idea is Well-Defined and Novel

Courts generally do not protect vague or generic ideas. The submission should be sufficiently developed so that it is unique and not easily conceived by others.

If an idea is too broad (e.g., "a board game about space travel"), it may not be legally protected. A detailed, specific concept is more likely to receive legal protection.

Implied Contracts and Industry Standards

Even if no written agreement exists, courts may find that an implied contract was created if:

The company routinely compensates individuals for similar submissions.

The circumstances suggest that both parties understood that compensation was expected.

However, relying on an implied contract is risky—having a written agreement is the only sure way to protect an idea.

2. Submissions to Government Agencies

Disclosure Risks Under Freedom of Information Laws

When private companies submit bids, proposals, or confidential trade secrets to government agencies for contracts, they often face the risk of public disclosure under Freedom of Information Acts (FOIA) at both the state and federal levels.

For example, a technology company submits a bid for a government contract and includes proprietary software details. If a competitor later requests the bid under FOIA, the government might release sensitive information, giving the competitor an unfair advantage.

Protecting Confidential Information in Government Submissions

To safeguard proprietary information from public disclosure, companies should take these precautions:

Designate Trade Secret Information Clearly

Most FOIA laws contain exceptions for trade secrets, allowing companies to prevent the disclosure of sensitive information.

Any proprietary information should be explicitly labeled as a "Trade Secret—Confidential."

Request Redaction Before Submission

Companies should negotiate with the agency to ensure confidential information will be redacted before public release.

Legal Action Against Unauthorized Disclosure

If a government agency wrongfully releases protected trade secrets, the affected company may have a legal claim for:

Unconstitutional taking of private property, entitling them to compensation.

Breach of confidentiality, if the agency had given assurances of protection

Trade secret litigation

1. Legal Actions for Trade Secret Violations

Breach of Contract: If a trade secret is disclosed in violation of a confidentiality agreement, the affected party can sue for breach of contract.

Misappropriation Claims: Even without a written agreement, trade secret owners can sue under state trade secret laws or case law.

Federal vs. State Court:

Cases must be in federal court if they involve patents or copyrights.

If damages exceed $75,000 and parties are from different states, federal jurisdiction applies.

Otherwise, cases are handled in state courts under Uniform Trade Secrets Act (UTSA) provisions.

2. Protecting Against Trade Secret Lawsuits

Employers should require new hires to confirm in writing that their employment doesn't violate previous confidentiality obligations.

Employees should declare their work will be original and not infringe on third-party rights.

3. Litigation Process

Pleadings: Complaint → Answer → Possible Counterclaims

Discovery: Depositions, interrogatories, and document requests to gather evidence.

Trial:

Plaintiff must prove misappropriation by a preponderance of the evidence.

A jury trial may be requested; otherwise, a judge decides the case.

Appeals: Either party can appeal the verdict.

4. Challenges in Trade Secret Litigation

Trade secret owners may need to disclose the very information they want to protect.

Courts use protective orders, private hearings, and sealed records to limit public exposure.

5. High-Stakes Cases & Damages

Trade secret disputes can result in multi-million-dollar judgments.

Example: MGA vs. Mattel (2011) – MGA won $85 million in damages + $85 million in exemplary damages for Mattel's theft of Bratz doll trade secrets.

New Developments in Trade secret Law

Recent developments in trade secrets law have been influenced by the increasing ease of electronic communication, which has made unauthorized access and distribution of proprietary information more common. In response:

Companies now use electronic safeguards such as:

Password protection

Encryption and coding

Restricted digital access

Courts consider these digital protections alongside traditional methods like:

Locked cabinets

Physical access restrictions

Marking documents as confidential

A significant legal development was the enactment of the Economic Espionage Act of 1996, which:

Criminalizes trade secret theft for both commercial and foreign benefit

Allows the U.S. Attorney General to seek civil injunctions

Imposes penalties of:

Up to $10 million for foreign-related espionage

Up to $5 million for other cases

Imprisonment for individuals involved

This shift reflects growing concerns about economic espionage and the increasing value of intellectual property over physical goods.

For example:

McAfee reported $559 million in IP losses in 2008

The FBI estimates up to $200 billion lost annually due to trade secret theft

Additionally, federal statutes like the National Stolen Property Act and mail and wire fraud laws, as well as state-level laws, are commonly used to prosecute trade secret misappropriation.

International Trade Secret law

Trade secrets, once disclosed, are typically lost unless properly protected. Hence, companies engaging in international business must ensure trade secret laws exist and are enforced in

foreign jurisdictions. Most countries criminalize trade secret theft, and international agreements support this protection.

- **NAFTA (1991)** mandates member countries (U.S., Canada, Mexico) to prevent unauthorized disclosure of trade secrets. Mexico revised its laws to allow civil enforcement.
- **WTO/TRIPS Agreement (1994)** requires all member countries to provide effective remedies for trade secret misappropriation. This aligns global standards with U.S. protections.
- The **Economic Espionage Act of 1996** extends U.S. jurisdiction to certain foreign acts, especially involving U.S. persons or conduct linked to the U.S.

To maintain trade secret protection globally, companies should use:

- **Employment and nondisclosure agreements**
- **Internal and physical security measures**

Thus, international frameworks and national laws together offer a strong legal foundation for protecting trade secrets abroad.

Law of unfair competition

- ❖ **passing off**
- ❖ **Misappropriation**
- ❖ **Right of publicity**
- ❖ **Dilution of trade marks**
- ❖ **Product disparagement**
- ❖ **False advertising**
- ❖ **Internet Piracy**

Law of unfair competition:

The term unfair competition is a broad term covering a wide variety of deceptive practices in the marketplace. The law of unfair competition continues to evolve with changes in the market place so that deceptive infomercials and false advertising on the Internet can be prohibited, just as their earlier print counterparts are.
The most commonly alleged forms of unfair competition are:
• Passing off (selling one's goods as those of another)
• Misappropriation (the taking of another's intangible commercial property right)
• Infringement of the right of publicity (appropriating another's identity or persona for commercial purposes)
• Dilution (use of a mark that is likely to cause blurring or tarnishment of another's famous trademark or service mark)

• Product disparagement (making false or deceptive representations about another's goods or services)
• False advertising (making false or deceptive representations about the nature of one's own goods or services)
• Internet piracy (use of internet and making the false business)

Passing off:

- Passing off (or palming off) occurs when one party misrepresents its goods as those of another, such as selling inferior cola labelled as COKE® or headphones marketed as BOSE®.
- Reverse passing off happens when a defendant removes the original mark from a product and sells it as their own.
- It protects consumers from confusion when trademark protection doesn't apply, allowing for injunctions and damages.
- Passing off also includes false advertising, for example, falsely claiming to be an authorized dealer of MAYTAG® products, harming the brand's reputation.
- Counterfeiting is an extreme form of passing off involving fake goods with counterfeit trademarks, common in luxury brands like Rolex, Louis Vuitton, and Kate Spade.

- Counterfeit products can pose serious risks, such as fake infant formula or counterfeit drugs lacking medicinal ingredients.
- The Lanham Act (federal law) addresses passing off with expanded remedies, including fines and jail terms.
- Enforcement efforts target not only sellers but also landlords, shippers, and financial services involved in counterfeit supply chains.

Misappropriation

Origin of Doctrine: Misappropriation as unfair competition began with International News Service (INS) vs. Associated Press, (AP) 248 U.S. 215 (1918), where the Supreme Court held that taking time-sensitive news gathered by another party without permission was an unlawful appropriation of valuable labor and investment.

Legal Basis: Since facts (like news) aren't copyrightable, AP couldn't sue for copyright infringement. Instead, it claimed a quasi-property right in the news it gathered, which the Court upheld, condemning INS for reaping benefits without having contributed labor.

Modern Application: Courts today apply the doctrine narrowly to situations like "hot" news, sports scores, or proprietary indices, requiring near-identical factual circumstances and clear evidence of free-riding.

Right of Publicity

Definition and Scope:

The right of publicity gives individuals—especially public figures and celebrities—the ability to control and profit from the commercial use of their identity. This includes names, photographs, likenesses, voices, or any recognizable aspect of a person's persona. It prevents others from using that identity in advertising, product promotion, or endorsements without permission. Though most cases involve celebrities, this right also applies to private individuals. Unlike trademark or copyright law, publicity rights protect personal identity from commercial exploitation regardless of whether there's consumer confusion or deception.

Legal Landscape and Remedies:

Publicity rights are governed by state law, leading to a fragmented system. About 20 states have specific statutes, others rely on common law, and a few do not recognize it at all. California provides some of the strongest protections. No federal statute currently exists, though there are calls for one. Infringement can lead to injunctions, compensatory damages, recovery of profits, and even punitive damages. Publicity rights are distinct from privacy rights and focus on preventing unjust enrichment and loss of commercial value.

Dilution:

Definition & Law:

Trademark dilution protects famous marks from losing distinctiveness through blurring or tarnishment, even without consumer confusion or competition. Governed by the Trademark Dilution Revision Act (TDRA), the law applies only to marks widely recognized by the general public, not niche markets.

Blurring & Tarnishment:

Blurring weakens a mark's uniqueness by linking it to unrelated products (e.g., TIFFANY RESTAURANT). Tarnishment harms reputation by associating a mark with offensive or low-quality content (e.g., "Enjoy Cocaine" mimicking Coca-Cola). Both forms dilute consumer perception.

Remedies & Exceptions:

Typical remedies include injunctions and, for willful violations, monetary damages. Exceptions include comparative advertising, news, parody, and noncommercial use, which are not actionable under the TDRA.

Product disparagement

Definition & Elements:

Product disparagement (also called commercial disparagement or trade libel) involves false statements made intentionally or recklessly about another's goods or services, causing specific economic harm. The statements must be clearly disparaging and not mere opinion, puffery, or protected free speech.

Proof Requirements:

At common law, the plaintiff must show the defendant acted with intent to harm or reckless disregard for the truth, and must prove actual monetary loss, such as lost contracts or customers. Mere likelihood of harm is insufficient.

Lanham Act Advantage:

Under Section 43(a) of the Lanham Act, plaintiffs don't need to prove intent or actual harm—only that they're likely to be damaged by false commercial statements. This makes federal claims more attractive than common law actions.

False Advertising:

False Advertising Under the Lanham Act:

False advertising under Section 43(a) includes literally false claims and impliedly false or misleading claims likely to deceive consumers. Examples include misleading pricing, unsubstantiated product superiority, and deceptive product images. In comparative advertising, a plaintiff must show the advertiser's product is not superior or equivalent as claimed. Claims must be provable—subjective puffery is not actionable. Courts may require consumer surveys or expert testimony to show deception, especially for technical claims. Remedies include injunctions to stop or correct false statements and monetary relief in cases of willful deception. The law does not require that the competing product be explicitly named; comparative claims are actionable even without directly referencing the competitor. The standard requires showing that a substantial portion of the audience was likely misled, not just a few. This makes it a powerful tool for businesses harmed by deceptive marketing practices.

Examples and Limits of Claims:

Courts have applied Section 43(a) in many contexts, including advertising that falsely suggests celebrity endorsements or misrepresents a product's nature. Notable cases have protected the Dallas Cowboys Cheerleaders' uniforms, drug capsule shapes, and even Tom Waits' voice from commercial misuse. Ads found unlawful include: claiming orange juice was "fresh" when it was processed, stating a motor oil was superior without proof, and using false "Made in" labels. Permissible uses under the Act include truthful comparative advertising, parody, and noncommercial commentary. Misstatements must be factual to be actionable; opinions or exaggeration ("puffery") generally are not. Section 43(a) helps ensure fair competition by preventing businesses from unfairly profiting through deception or misappropriation of goodwill. While it offers broad protection, the claim must still be grounded in commercial context and backed by evidence that consumers are likely to be misled or confused by the representation.

Internet Piracy (India-focused and current as of 2025):

- **Cinematograph (Amendment) Act, 2023**: Criminalizes unauthorized recording or distribution of films; penalties include imprisonment (3 months to 3 years) and fines up to 5% of the film's production cost.
- **Copyright Act, 1957**: Provides civil and criminal remedies for piracy, including injunctions, damages, and up to 3 years' imprisonment.
- **Information Technology Act, 2000**: Section 66 penalizes online piracy with fines up to ₹2 lakh and imprisonment.
- **Maharashtra Intellectual Property Crime Unit (MIPCU)** and cyber police have cracked down on piracy apps (e.g., Thop TV) and unauthorized streaming sites.
- **Recent enforcement**: Piracy-related arrests, internet café raids (e.g., "Empuraan" case in Kerala).

- **Challenges**: VPNs, international hosting, low public awareness.
- **Industry response**: OTT platforms and film chambers are filing legal complaints and collaborating with authorities.
- **Need for action**: Stronger cross-border cooperation and awareness campaigns are essential to deter digital piracy.